COMPARATIVE EXHIBIT OF TWO BOND ISSUES, SEPTEMBER, 1932

Item	Inland Steel 4½s, due 1978 and 1981 Price 82, yield 5.6%	Crucible Steel 5s, due 1940 Price 60, yield 13.4%
Annual interest charge	$ 1,890,000	$ 675,000
Earned for interest by years:		
1932 (first half)	*496,000(d)*	*1,348,000(d)*
1931	3,126,000	*1,339,000(d)*
1930	7,793,000	4,542,000
1929	13,042,000	8,364,000
1928	10,569,000	5,849,000
1927	7,482,000	5,844,000
1926	7,851,000	6,787,000
6½-year average	$ 7,595,000	$ 4,400,000
Interest coverage	4.6 times*	7.1 times*
Bonded debt	$42,000,000	$13,500,000
Stock value:		
Preferred		250,000 sh.@ 30 = $7,500,000
Common	1,200,000 sh.@ 20 = $24,000,000	450,000 sh.@ 17 = $7,650,000
Total stock value	$24,000,000	$15,100,000
Stock-value ratio	0.57 to 1	1.12 to 1

* Adjusted for changes in the funded debt during the period.

This should be clear if we compare the exhibits of the Inland and Crucible issues. It will be seen that both the earnings coverage and the stock-value ratio were better for the Crucible issue, yet the yield on the latter was twice as high as for the Inland bond. The purchaser of the Inland Steel 4½s would have to assume not only that the 1932 conditions were transitory—a necessary assumption if there was to be any buying of securities—but also (1) that the price of Inland Steel stock was much too low and (2) that the price of Crucible Steel stock issues was much too high. For unless the Inland stock was selling too low, the Inland bonds could not be considered safe; and unless the Crucible shares were selling too high, he would have been much better advised to buy the lower priced Crucible bonds. This would seem to be entirely too complicated and doubtful a basis for a straight bond investment.